

Nephrocare Health Services Ltd (NephroPlus)

Concall Tracker report | Ticker: NEPHROPLUS | Prepared 05 Jul 2026 | Source: Screener.in earnings-call transcripts

A dialysis (kidney-care) services chain — India's and Asia's largest dialysis network, branded NephroPlus. Newly listed (IPO 17 Dec 2025).

1. Snapshot — what the business is and the basic numbers

What they do (one line): NephroPlus runs dialysis clinics — the treatment that does the job of failed kidneys, cleaning a patient's blood. Kidney-failure patients need it about three times a week for life, so the revenue is highly repeat and predictable. NephroPlus makes money three ways: clinics run inside partner hospitals on a revenue-share ("captive"), its own standalone clinics, and government public-private-partnership (PPP) clinics. It now operates in India, Nepal, Philippines and Uzbekistan, and is setting up in Saudi Arabia.

Number	Value	Plain-English read
Market value (market cap)	₹6,753 cr	What the whole company is worth on the stock market today.
Revenue FY26 (consolidated)	₹998.8 cr	Total sales for the year to Mar 2026 — up about 32% on last year's ₹755.8 cr.
Adjusted operating profit (EBITDA) FY26	₹238.1 cr	Profit from running the business before interest, tax and wear-and-tear — up ~38%. Margin 23.8% (₹23.8 of every ₹100 of sales), up from 22.8%.
Adjusted net profit (PAT) FY26	₹128.3 cr	Bottom-line profit after removing one-off items — up ~75%. Margin 12.8% of sales.
Cash vs debt	~₹500 cr cash, ₹12 cr debt	Effectively debt-free after the IPO — a big cash cushion to fund expansion. (Borrowings fell from ₹127 cr a year earlier.)
Return on capital (ROCE, pre-tax, FY26)	22.8%	For every ₹100 of capital in the business it earns ₹22.8 a year before tax — up from 19.9%. This is management's key yardstick.
Promoter holding (Mar 2026)	63.85%	Founders/promoters still own nearly two-thirds — high skin in the game.

Important data note (standalone vs consolidated): Screener's downloadable financials are the **standalone (India-only)** accounts, which show FY26 sales of just ₹630 cr and a small reported loss of ₹8 cr. That reported loss is misleading — it carries a **one-time, non-cash ₹37.2 cr finance charge** from converting preference shares (CCPS) into equity before the IPO, plus start-up losses of the Saudi joint venture and staff-option (ESOP) costs. Management reports and runs the business on a **consolidated (all-countries)** basis, so this report uses the consolidated numbers management gave: revenue ₹998.8 cr and adjusted profit ₹128.3 cr. Where you see a gap, that is the reason.

2. Concall coverage

NephroPlus only listed in December 2025, so its earnings-call history is very short. **Both** transcripts available on Screener were read in full, oldest first.

Quarter	Call date	Transcript read?
Q3 & 9M FY26 (their maiden call)	11 Feb 2026	Yes — full 22 pages
Q4 & full-year FY26	20 May 2026	Yes — full 24 pages

Consistency caveat: Only two calls exist, roughly five months apart, and one was the very first call ever. That is far too little history to judge "promised-vs-delivered" over multiple years. The read below is therefore a limited, early one.

Latest concall highlights — Q4 & FY26 (call held 20 May 2026)

- **Full-year results were strong.** Revenue ₹998.8 cr, up 32% — nearly a third more sales than last year. Adjusted profit ₹128.3 cr, up ~75% — profit grew far faster than sales, showing the business gets more efficient as it gets bigger.
- **The quarter itself was softer.** Q4 revenue ₹265.6 cr, up 21%. Reported margin dipped to 20.9% because of a **one-time ₹10 cr bad-debt provision (ECL)** on two old customer accounts (4-5 years old); stripping that out, margin was ~25%, slightly above normal. Management framed it as conservative "just-in-case" accounting, not a real loss.
- **Guidance unchanged:** 15-20% revenue growth per year (CAGR) over the next 3-4 years — the exact same target as the maiden call. No annual guidance given.
- **Saudi Arabia is running slow.** Its first Riyadh clinic is due to open "within two months"; a big Ministry of Health / Defence tender is only at the earliest ("EOI") stage and has not produced revenue yet. The Saudi joint venture is still losing ~₹3 cr a quarter. Management stayed honest: "we need to be patient... things sometimes do not move as fast as we expect."
- **Tone:** confident and measured on the core business; deliberately cautious ("this is a marathon") on new-country bets.

2b. Business mix & capacity (quick-glance panel)

Domestic vs overseas: International ~42% / India ~58% of revenue (FY26). Read: overseas is now more than four-tenths of sales and rising fast (it was just 12% in FY23 and 32% in FY25). Overseas clinics charge much higher prices — Philippines ~\$111 and Uzbekistan ~\$60 per treatment vs India's ~\$22 — so this shift lifts the average price and profit.

Network size: 524 clinics across 335 cities in 5 countries; ~50% share of India's organised dialysis market; world's 5th-largest dialysis network by volume.

Capacity: Management did **not** give a single overall utilisation percentage. It explained the model instead: each machine can do only 3 sessions a day, and clinics cannot run above ~85% (they keep spare seats for emergency patients). An Indian clinic averages ~11 beds and ~7,000 sessions a year. Read: growth mainly comes from **adding clinics**, not squeezing more out of existing ones — so the current-utilisation headroom was not disclosed as a number.

3. Earning-trigger thesis — the headline

The main engine: NephroPlus's earnings are being driven by **mix shift into higher-priced overseas markets on top of a low-cost India "platform"**. Sixteen years of running dialysis in India at the world's cheapest price (\$22) forced it to strip out every inefficiency. It now exports that lean cost model to Philippines, Uzbekistan (and next Saudi), where prices are 3-5x higher — so revenue-per-treatment and margins rise while returns stay high. Alongside this, it steadily rolls up 40-50 new India clinics a year. The result is visible: overseas share 12% → 42% in three years, average revenue-per-treatment up 13% to ₹2,598, and operating margin widening to 23.8%.

Trigger	What management said	Evidence so far	Time horizon	Strength
				Strong

Overseas mix lifting price & margin	India platform earns higher margins abroad at 3-5x price points	Overseas 12%→32%→42%; RPT +13% to ₹2,598; margin 22.8%→23.8%	Playing out now, multi-year	
Steady India clinic roll-ups (Levers 1 & 2)	40-50 gross new clinics/year, mostly captive; brownfield takeovers	Treatments +17%; ~50% organised-market share; predictable, recurring demand	Ongoing, predictable	Strong
Operating leverage (getting cheaper as it scales)	Profit grows faster than sales as volume rises	Adj. profit +75% on +32% sales; ROCE 19.9%→22.8%	Ongoing	Strong
Big step-change: large M&A / new country / Saudi PPP (Lever 3)	Unpredictable "needle-movers"; Saudi MoH/MoD tender in view	Saudi still investment phase, EOI stage, no revenue, ~₹3 cr/qtr JV loss; earlier NUPCO tender did not convert	Unclear — "can't put a timeline"	Unproven (upside optionality)

There is a clear, live, evidenced trigger. The core (mix + roll-ups + leverage) is doing the work; the big-acquisition lever is a bonus that has not yet arrived.

4. Management consistency scorecard

Period / topic	What was promised	What actually happened	Verdict
Feb 2026 (maiden) → May 2026 growth guidance	15-20% revenue CAGR over 3-4 years; no annual guidance	Repeated word-for-word in May; FY26 delivered +32%, ahead of the range	Delivered
Margins	Feb: stay "roughly in that range" (~24% adjusted)	FY26 adj. margin 23.8%; Q4 ~25% ex the one-off provision	Delivered
Overseas becoming a bigger, higher-margin share	Feb: mix "slowly inching up"	Rose 32%→42% within the year; drove RPT up	Delivered
Saudi Arabia ramp-up	Feb: revenue "a couple of quarters from now"	May: still investment phase, first clinic not yet open, tender only at EOI stage, still loss-making	Too-early / slipped
Cash discipline / ROCE focus	Both calls: every project must be ROCE-accretive; strong cash conversion	ROCE up to 22.8%; OCF ₹233 cr; working-capital days 92→83; ~debt-free	Delivered

Narrative drift: Across the only two calls the story has been remarkably steady — same three-lever framework, same guidance, same "platform play, look at us consolidated" message. Numbers backed the words. The one soft spot is Saudi Arabia, where the timeline quietly slipped from "a couple of quarters" to "a couple more quarters," and the one-off ₹10 cr bad-debt provision was a small reminder that the receivables cycle carries risk — but both were disclosed openly rather than buried. No spin, no story changes. The limitation is simply that two calls is not enough to prove durability.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a concrete, live driver with hard evidence it is already working: the low-cost India platform is being exported to higher-priced markets, pushing revenue-per-treatment up 13%, overseas mix from 12% to 42% in three years, and operating margin to 23.8% — all while returns on capital rose to 22.8%. On top sits a predictable, recurring core (dialysis is needed thrice weekly for life) and a steady 40-50-clinics-a-year roll-out. The trigger does not depend on the unproven "big acquisition" lever; that is upside on top. This is a genuine Yes, not a hopeful one.

Management consistent? → **MAYBE (leaning positive)**

On the evidence there is nothing to fault: guidance was repeated unchanged, the promised numbers were delivered (and beaten), and the two honest wobbles — Saudi's slipping timeline and a conservative one-off bad-debt provision — were disclosed plainly. But this is only the company's **first and second** earnings calls, five months apart. A "Yes" on consistency has to be earned over years of promised-vs-delivered, and that track record simply does not exist yet. Hence MAYBE — the early signs are good, but it is too soon to certify durability, and the Saudi timeline has already been pushed back once.

Prepared from Screener.in transcripts of the 11 Feb 2026 (Q3/9M FY26) and 20 May 2026 (Q4/FY26) earnings calls, cross-checked against Screener financial tables. Financials used are consolidated (as reported by management); Screener's downloadable tables are standalone and understate group revenue and profit — see the data note in Section 1.